

pee” range, marking the first horizontal e-commerce company in India to achieve this feat. Meesho could also potentially make a bold move in the market if its proposed IPO becomes a reality next year. SoftBank, which wrote down its investment in Snapdeal, is a leading stakeholder in Meesho. Despite being Snapdeal’s largest shareholder with a 35.40 per cent stake, SoftBank is expected to lean towards Meesho, now valued at a whopping \$5 billion, if there is a funding showdown.

On the other hand, Flipkart’s value e-commerce arm, Shopsy, reported a threefold increase in the number of units sold, customers, and sellers on its platform. It delivered to 16 million customers during the quarter ended March 31, 2023. In fact, Shopsy already accounts for 40 per cent of Flipkart’s new customers.

34 | “Competition is getting intense. Earlier, they didn’t have direct competition. Now they have multiple players with the same focus and approach. Meesho is the primary challenger (to Snapdeal)... they have cash, they are growing, customers seem to trust them, they are doing volumes, and they seem to be having big plans,” says Satish Meena, Principal Analyst at Datum Intel.

It is not easy to navigate in the Tier II market and beyond. Snapdeal’s advantage lies in the ecosystem it has created over the years—a strong supply chain and vendor network, a solid logistics partner system, mastery of pricing nuances and product curation, and a tailor-made user interface.

“It’s not easy to build a business in non-metros. It is so heterogeneous. User preferences change from location to location. Large commerce firms still focus on metros because the ROI is immediate as it is a concentrated set of people. In Tier II and beyond, it is very spread

FUNDING TRACK RECORD

► Snapdeal’s last big funding round came in 2016, when it raised \$70 million from investors

► The highest amount of funds it raised in a year was in 2014, when it raised a total of \$965 million from investors like SoftBank

YEAR	KEY INVESTORS	AMOUNT (\$ MILLION)
2021	• BCCL • Hindustan Media Ventures Limited	14.2
2017	• Nexus Venture Partners • Titan Capital	17
2016	• Brother Fortune Apparel • Clouse SA • BCCL	70.4
2015	• Wonderful Stars Pte Limited • SoftBank • Alibaba • Temasek • Myriad Asset Management • Peak XV Partners (Sequoia India and SEA) • RTP Global • Valiant Capital Partners • Tybourne Capital Management • M L Tandon & Sons Huf	788.2



“What we have is a self-sufficient model. We are here to create a very good value lifestyle online destination for customers”

HIMANSHU CHAKRAWARTI
CEO, SNAPDEAL

out. From average population to user preferences to supply chain infrastructure and logistics and reverse logistics, the challenges are manifold,” says Amit Nawka, Partner-Deals at PwC.

Chakrawarti is not worried about the competition; he’s clear on the growth path: it’s going to be thoughtful growth that will depend on market opportunities.

“It will be a more thoughtful rate, but not the [modest] growth rate of 3-5 per cent. You can grow steadily, and then you can use a step function to grow faster when opportunities arise,” he adds.

SIZE OF THE PIE

Chakrawarti says 75 per cent of the value commerce market is dominated by traditional retail; modern